Non-Confirmation

A "non-confirmation" is a special type of divergence. When a long standing prior trend fails to continue in one or more subsectors of the larger market, the subsector at a new high is said to be "unconfirmed" by those that are not. Non-confirmations do not guarantee an approaching trend change, as they sometimes appear for periods of time in the middle of a trend. Their value is that they *always* accompany stock market tops and usually accompany bottoms. Any case for a stock market top must include non-confirmation, then, while a trend that is confirmed across the board is not at a top. At the 1968 top, the Value Line, S&P, NYSE and Transportation indexes registered new highs, but the DJIA, after rallying all the way back to within a few points of its 1966 high, never confirmed, nor did the Utilities. The stock market then fell for 18 months to below its late 1966 lows. At the 1974 bottom, the Value Line, S&P, NYSE and DJIA registered new lows for the decade, but the Transports, holding above their 1970 low, did not confirm. At the final month of the bottom, the DJIA made a new low, but no other index did. From this double non-confirmation, a new bull market was born.

Today's non-confirmations reflect a significant top in the making. With the DJIA at a new high today, the Utility average (see Figure 7-5) and the advance-decline line are below their highs of 1993-1994. While the a-d non-confirmation may be overcome, the lagging Utility index is consistent with analysis indicating an approaching major top.

As mentioned in Chapter 8, wave V has been a worldwide affair. While minor non-confirmations would be expected on such a scale at almost all times, the Japanese Nikkei index is in a serious state of long term non-confirmation. The Nikkei was the world's star performer through 1989, outpacing all other countries' stock indexes. After rising 1143.4% from 1974 to December 31, 1989, the Nikkei turned down. While the DJIA and other countries' stock indexes have continually made new highs over the past five-plus years, the Nikkei has declined 60.4%. Following fifteen years of joint uptrend, this dramatic non-confirmation, shown in Figure 9-6, is bearish for the entire global bull market. Figure 9-7 shows the result of a brief 8-month non-confirmation between the world's two biggest stock markets in 1929.